BLS International Services Ltd

Concall Tracker · Q1 FY2027 (quarter ended 30 June 2026) · NSE: BLS · Report prepared 20 Aug 2026

Not investment advice. Do your own due diligence. An AI-generated reading of the company's earnings-call transcripts and filings.

1 Snapshot

BLS International is a **visa outsourcing** company — governments hire it to run their visa application centres, collect passports and documents from travellers, take biometrics and hand the file to the embassy, and BLS is paid a fee per application by the applicant. It does the same thing for Indian government citizen services (passport, Aadhaar, attestation) and, through subsidiaries, runs a rural banking-agent and loan-distribution network in India. It works for **40+ client governments across 100+ countries** and owns almost no physical assets — every office is rented.

Metric	Value	What it means in plain words
Market cap	₹11,281 cr	A mid-cap. Roughly one-eighth the size of its only real global rival, VFS Global (unlisted).
Price	₹274	Against a 52-week range of ₹218–393. The stock is 30% below its high while profits hit records — the market is not paying up for this.
Stock P/E (as screened)	76.8	Wrong number for this company. It divides the price by the *parent company's* profit only. On the group profit management actually reports, the P/E is about **15.6**. See the box below.
Book value (as screened)	₹2.24 / share	Also parent-only. The group's book value is roughly **₹62 a share**, so the stock trades at about 4.4× book, not 122×.
ROCE (as screened)	80.7%	Return on capital employed = profit earned per rupee of money tied up in the business. 80.7% is a measurement artefact of the tiny parent balance sheet. Management's own group figure for FY25 was **22%** (ROE 31%).
Dividend yield	0.73%	₹2.50 a share in FY26, over ₹100 cr — nearly all of the parent's own profit, but only 14% of group profit.
Group FY26 revenue / profit	₹2,998 cr / ₹724 cr	Up 37% and 34%, both records — and 14× the ₹210 cr the screener shows. Three-year compound growth: revenue 34%, EBITDA 54%, profit 49%.
Net cash, 30 Jun 2026	₹1,617 cr	No net debt at all, and cash keeps building: ₹928 cr (Mar-25) → ₹1,126 cr → ₹1,434 cr → ₹1,617 cr. Group operating cash flow was ₹903 cr in FY26.

Why the headline numbers look impossible — and what they actually are

The reported series looks broken: net profit of ₹45 cr on operating profit of only ₹9 cr in June 2026; ₹72 cr of profit on ₹69 cr of sales in March 2026; a violent −61% operating margin in March 2025. **There is no accounting scandal here. The screened figures are the standalone (parent-company-only) accounts, and management discusses only the consolidated (whole-group) accounts.** Not one of the nineteen transcripts quotes a standalone figure — every number on every call is consolidated. The parent is essentially a holding company: it owns the India-facing operations plus the shares of the overseas subsidiaries where nearly all the profit is earned (the visa business sits largely in a Dubai free-zone entity, which is why the group tax rate is only 10–12%).

FY26 line	Screened (parent only)	Management's group figure	Plain read
Revenue	₹210 cr	₹2,998 cr	The parent is 7% of the business.
Operating profit / EBITDA	₹28 cr (14%)	₹819 cr (27.3%)	The real operating engine is invisible in the parent accounts.
Other income	₹107 cr	Fixed-deposit and debt mutual fund interest, plus a	The parent's ₹107 cr is far larger than interest on group cash could be. The arithmetic only works if most of it is

		one-off ₹5–6 cr currency gain (CFO, May 2026)	**dividends remitted up from the subsidiaries** — money that vanishes on consolidation because it is the group paying itself.
Net profit	₹103 cr	₹724 cr	The parent shows 14% of group profit.
Net worth	₹92 cr (₹2.24/sh)	~₹2,541 cr (~₹62/sh)	The parent pays out nearly all it earns as dividend, so its own equity never grows. That, not brilliance, is why ROCE screens at 80.7%.

So how much of the profit is really from running the business? On the group accounts, essentially all of it. Q1 FY27: revenue ₹891 cr, EBITDA ₹252 cr, profit ₹202 cr. Interest on ₹1,617 cr of net cash is worth perhaps ₹25–30 cr a quarter, so roughly **85% of group profit is operating profit** and the rest is interest on a real cash pile. The "profit above operating profit" problem exists only in the parent-only view.

And the March 2025 –61% margin? Nothing broke. In that same quarter the *group* posted record revenue of ₹693 cr (+55%), EBITDA of ₹174 cr (+93%) and profit of ₹145 cr (+70%). The parent's ₹25 cr of revenue against ₹41 cr of cost was the cost side of the FY25 acquisition programme (over ₹1,000 cr on iDATA, Citizenship Invest and Aadifidelis) plus a step-up in India fixed costs — parent depreciation doubled to ₹13 cr, its fixed assets jumped from ₹31 cr to ₹87 cr — landing in an entity with almost no revenue to absorb them. **It was not a write-off, a contract loss or a provision.** No analyst has ever asked about it, because nobody looks at these accounts.

Why an asset-light company can post a huge return on capital — and why 80.7% is still meaningless: BLS builds nothing. "Practically 100% are basically on a rental basis only," the CFO said of its offices (Aug 2025). It rents counters, hires people, plugs in software and collects a fee per application, and working capital is negative because applicants pay upfront. So real capital employed is small and honest returns are high: **22% ROCE and 31% ROE on the group in FY25**. But 80.7% is arithmetic, not economics — the denominator is a ₹92 cr parent balance sheet emptied by dividends, and it swung from 19% to 81% in one year on an unchanged business. Use 22–30%; ignore 80%.

2 Concall coverage

Quarter	Call date	Transcript read?	What it was used for
Q1 FY27	11 Aug 2026	**Yes, in full**	Current guidance, segment splits, acquisition revenues, Aadhaar economics, buyback pressure
Q4 / FY26	20 May 2026	Yes, in full	FY26 results, contract wins, "no ban", other income, intangibles
Q3 FY26	6 Feb 2026	Yes, in full	Slovakia and China wins, Bihar Aadhaar, acquisition IRR, UK hotel
Q2 FY26	12 Nov 2025	Yes, in full	UIDAI win, the MEA tender ban, Kuwait / Canada expiry questions
Q1 FY26	6 Aug 2025	Yes, in full	"90% of contracts renewed", organic split, self-managed transition done
Q4 / FY25	16 May 2025	Yes, in full	FY25 results, group ROCE 22% / ROE 31%, ₹1,000 cr+ M&A spend
Q3 FY25 – Q3 FY24 (5 calls)	13 Feb 2024 – 12 Feb 2025	Yes	Renewal percentages; iDATA at €50 m / ₹720 cr; Citizenship Invest at $31 m; Aadifidelis terms — the original promises
FY22–FY24 (earlier 8)	Jun 2021 – Nov 2023	Not read	Pre-acquisition era, outside the 2–3 year window

Screener.in lists 31 earnings calls for BLS; 19 transcripts were obtained. Every call from Q3 FY24 onward — the period covering all the acquisitions and all current contracts — was read, and Q1 FY27 was read in full including the entire Q&A.

Latest concall highlights — Q1 FY27 (call Aug 2026)

- **Quality of earnings is fine at group level; the screened valuation is badly misleading.** Group revenue ₹891 cr (+25%), EBITDA ₹252 cr (+24%, margin 28.3%), profit ₹202 cr (+12%) — all records. Roughly 85% of that profit is operating, the rest interest on ₹1,617 cr of net cash. On group profit the stock is on about 15.6× earnings, not 77×.
- **The core visa engine has stopped growing in volume.** Applications 11.3 lakh, flat against 11.4 lakh a year ago — in what is the seasonally strongest quarter. All growth came from price: net revenue per application ₹3,521 versus ₹3,167, up 11%. Management blamed a war and said "the war is over now, so numbers have started to come back."
- **The growth target was quietly cut and management misremembered its own guidance.** Shikhar Aggarwal: "our target is to grow 15% to 20% for the next 5 years... even last time we announced that our target is to grow 15% to 20% organically." Last time (May 2026) he said 20%–25%; in February 2026 he also said 20%–25%. Nobody on the call noticed.
- **Profit is concentrated where growth is slowest.** Visa & Consular is 63% of revenue but "close to 90% of the total consolidated EBITDA" at a 40.3% margin. Fast-growing Digital (+32% to ₹330 cr) earns 8.2% and management says it "will remain structurally lower."
- **Aadhaar is the new engine and it is still in capex, not revenue.** ₹75 cr of a ₹125 cr investment spent, three phases, "by the fourth quarter, we expect the full revenue to start coming in." The contract is 6 years and "expected to generate about ₹2,500 crores of total revenue" — at a 10–15% EBITDA margin, cut from the 15–20% promised in May 2026.
- **Two analysts pushed hard on capital allocation and got nothing.** Asked to quantify value created by the acquisitions, the CFO was off the call and the question was never revisited. On buybacks: "As of now, it is not under consideration." On expiries in the next 12 months: "There are some contracts that are concluding... we still feel that we can maintain this 10% to 15% growth" — no rupee figure.

2c Business mix & capacity

Segments (Q1 FY27, group). Visa & Consular Services ₹560 cr revenue (63% of total), EBITDA ₹226 cr, margin 40.3%, ~90% of group EBITDA. Digital / e-governance ₹330 cr (37%), EBITDA ₹27 cr, margin 8.2%, ~10% of group EBITDA. A year ago the split was 65 / 35 — digital is gaining revenue share while contributing almost no profit.

Inside Digital. Mostly banking-agent work: 1.58 lakh touchpoints, 45,800 channel partners, ₹29,500 cr of transactions in the quarter (up from ₹26,200 cr). The biggest piece is Aadifidelis, a loan-distribution business bought in Nov 2024, contributing ₹225 cr of the ₹330 cr at a **4–5% EBITDA margin** — a commission business earning 2–2.5% on loans distributed, most of it passed on to agents. That is why digital margins are thin.

Geography — not disclosed in percentages. Asked directly for a Europe / Asia / Middle East split in May 2026, the CFO said "I don't have the ready percentages" and named the big markets instead: UAE, Saudi Arabia, Morocco, Algeria, UK, USA, Canada, Singapore and now China. The one hard number ever given: **the Indian government is only 12% of group revenue** (Nov 2025). Footprint is "over 100 countries" and "more than 40 client governments", up from 70 countries a year earlier.

Capacity — not disclosed. BLS does not publish its number of visa application centres. The only hard counts on record: iDATA's 37 centres at acquisition, 17 attestation centres in India, and the Aadhaar rollout at **40–50 of a planned 200–300 centres**, the rest due this financial year. Management measures capacity in volume, not centres: 11.3 lakh applications a quarter, 44.1 lakh in FY26.

3 Earning-trigger thesis

Is there a durable earning trigger?

Yes — but not the one the headline growth implies. The visa business, which earns 90% of the profit, is now a 10–15% grower: volumes are flat and the margin lever that drove FY26 (moving centres from partner-run to self-managed, which took the segment margin from 34.5% to 40.1%) is **finished** — "mostly all have now been converted... the last major one was China" (Aug 2025). The genuine new trigger is India e-governance: a 6-year UIDAI Aadhaar contract worth about ₹2,500 cr, fully built by Q3 FY27 and paying from Q4 FY27, plus a ₹100 cr Bihar Aadhaar order and the West Bengal health-scheme mandate. Behind it sits ₹1,617 cr of net cash being turned into small, cheap acquisitions at claimed 17–20% returns, on a group valuation of about 15.6× earnings. What is *not* a trigger: the 37% FY26 revenue growth, most of which was the annualisation of a 4%-margin loan-distribution deal.

Trigger	What management said	Evidence so far	Horizon	Strength
UIDAI Aadhaar Seva Kendra ramp	"This is a six-year contract... expected to generate about ₹2,500 crores of total revenue over the six years"; total investment ₹125 cr; EBITDA margin "about 10% to 15%"	₹75 cr invested, 40–50 of 200–300 centres live, revenue ₹17.5 cr in Q1 FY27 — real and contracted, but only ~2% of run-rate revenue today. Margin guidance already cut from 15–20% to 10–15%.	Q4 FY27 onward	**Strong**
Price, not volume, in visa	"Net revenue per application... a growth of 11%"; "we expect revenue growth of somewhere between 12% and 15%"	Delivered for three years running (₹2,146 → ₹2,903 → ₹3,302 → ₹3,521). But the CFO conceded the driver is over: "in most places, we have our own offices. Therefore, net revenue per application is now stabilizing at these levels."	Already in numbers; decelerating	**Medium**
New contract wins replacing expiries	Slovakia (5 years, 80+ countries), MEA China visa centres (3 years), Cyprus in several countries, Belarus, Italy / Portugal / Poland; "90% of our contracts have been renewed"	Wins are announced and verifiable. But group visa revenue grew only 11% in FY26 and volumes are flat — the wins have so far offset expiries rather than added to them.	Rolling, 8–12 months per tender	**Medium**
Cash converted into cheap acquisitions	"All the M&A investments we have made are generating returns of more than 17% to 20%"; Atyati bought for ₹138 cr with ₹275 cr revenue and ₹20–21 cr EBITDA	iDATA at ₹720 cr against ₹144 cr of EBITDA was a good price; Atyati at 0.5× sales looks cheap. But management could not answer when asked to quantify value created, and cash piles up faster than it is deployed.	Continuous	**Medium**
Digital margin repair	"Over time, as our digital margin improves, we expect the contribution gap to narrow"	8.2% versus 7.2% a year ago — 100 basis points in a year, on a segment that is 37% of revenue and 10% of profit. Slow, and structurally capped by the loan-commission model.	2–3 years	**Weak**

4 Management consistency scorecard

Period	Promised	What happened	Verdict
Feb 2024	iDATA at €50 m enterprise value, "EPS accretive from day one", closing by end of FY24	Closed July 2024, one quarter late, for ₹720 cr. Accretive as promised — but iDATA has barely grown: ₹246 cr of revenue in CY23, then quarters of ₹72 cr, ₹71.5 cr, ₹70 cr, ₹72.5 cr. Flat for two years.	Mixed
Aug–Nov 2024	Aadifidelis (55–57% stake, FY24 revenue ₹600 cr, EBITDA ₹22 cr) and Citizenship Invest ($31 m) will scale through cross-selling	Delivered. Aadifidelis now runs at ~₹900 cr a year; Citizenship Invest went ₹11 cr to ₹17.5 cr a quarter at a 37% margin. The cost: mix diluted by a 4%-margin business.	Kept
Feb–May 2025	Margin expansion from the partner-run to self-managed transition; FY25 ROCE 22%, ROE 31%	Delivered emphatically. Visa segment margin 22.1% → 34.5% → 40.1% across FY24–FY26. The single best-kept promise on record.	Kept

Aug 2025	"90% of our contracts have been renewed... we have a clear visibility on the next 4–5 years, 6–7 years of our revenue"	No renewal has publicly failed. But when an analyst cited the MEA's own published list showing Kuwait expired in Sept 2025 and Canada due that December, the answer was "we need to see the exact pipeline that you are mentioning." Never followed up.	Evasive
Nov 2025	MEA ban on bidding for new Indian tenders is "temporary"; "SLA-driven complaints regarding waiting time"; "no impact on our financials"	By May 2026 the answer was flatly "There is no ban." India is only 12% of revenue and a 3-year China mandate was won days after the ban surfaced, so the financial claim held. But it was disclosed reactively, after the press had it.	Mixed
May 2026	"This year, our target is on an increased base to grow the company at 20%–25%"; Aadhaar EBITDA margin "15% to 20%"; FY26 had "not done any new major acquisition"	Three months later the growth target is "15% to 20%", the Aadhaar margin is "10% to 15%", and the same CFO said "last year alone, we invested about ₹1,100 crores in new acquisitions." Two guidance cuts and one direct self-contradiction, none acknowledged.	Broken
Aug 2026	15–20% growth for five years; visa 40% and digital 8% margins to be "maintained"; Aadhaar revenue from Q4 FY27	Too early. Q1 FY27 beat it — 25% revenue, 24% EBITDA — but on flat visa volumes.	Open

Narrative drift. The story has moved three times in two years and each move has been in the same direction — away from the core. In FY24–25 the pitch was *global visa share gains plus margin transformation*, and it was true: margins went 22% to 40% and profit rose 66% in a year. In FY26 it became *diversified two-engine growth* — but the second engine was a 4%-margin loan business whose annualisation supplied most of the 37% headline growth while visa revenue grew 11%. By Q1 FY27 the pitch is *India e-governance and citizenship*, with visa volumes flat and the honest driver reduced to pricing. Along the way the five-year growth target has been shaved from 20–25% to 15–20% while management asserted it had always been 15–20%, and the FY25 acquisition spend has been described as "₹1,000 crores", "₹1,300 crores" and "₹1,100 crores" on three different calls. Delivery has been genuinely strong; the commentary around it is loose and self-flattering, and analysts now openly say so — "from an outside investor perspective... one thing that is not very clear is around the capital allocation policy."

5 Bottom line

EARNING TRIGGER: YES — and the market is pricing this business off the wrong accounts.

Strip out the parent-only distortion and BLS is a ₹3,000 cr revenue, 28%-EBITDA-margin, negative-working-capital services group that grew profit 34% last year, holds ₹1,617 cr of net cash against zero debt, converted ₹903 cr of operating cash in FY26, and trades at roughly **15.6× group earnings and 4.4× group book** — not the 76.8× and 122× a standalone screen throws up. The durable trigger is contracted and visible: a ₹2,500 cr six-year UIDAI Aadhaar mandate, fully capitalised at ₹125 cr and three-quarters spent, earning from Q4 FY27; plus the Slovakia mandate across 80+ countries, new China and Belarus mandates, and Atyati bought for ₹138 cr against ₹275 cr of revenue. Be clear what is *not* the trigger: core visa volumes are flat, the margin lever is fully pulled, and the 40% visa margin is a ceiling management now only hopes to "maintain". Underwrite 12–15% growth with an Aadhaar kicker, not 25%.

MANAGEMENT CONSISTENCY: PARTLY — they hit the numbers and mis-state the story.

On delivery the record is close to flawless: every promised margin transition landed, every acquisition closed, revenue and profit compounded at 34% and 49% over three years, and the biggest promise of all — the self-managed margin shift — overdelivered. That earns real credit. But the narrative discipline is poor and worsening. In one three-month gap the five-year growth target fell from 20–25% to 15–20% while management claimed it had never changed, the Aadhaar margin guide fell from 15–20% to 10–15%, and the CFO contradicted his own May-2026 statement that FY26 held no major acquisitions. The two questions that matter most here — how much revenue rolls off as contracts expire, and what the ₹1,100–1,300 cr of acquisitions has actually returned — were both asked directly on the Q1 FY27 call and both went unanswered. In a business where every rupee of revenue sits inside a finite tender that will be re-tendered, refusing to quantify expiry exposure is the single biggest disclosure gap, and it is why this verdict is not a Yes.